

IND AS 16 — PROPERTY, PLANT AND EQUIPMENT

Recognition, Measurement, Depreciation & Red Flags

1. DEFINITION & RECOGNITION

Property, plant and equipment are tangible items held for use in production/supply of goods or services, for rental to others, or for administrative purposes, and expected to be used during more than one period. Recognise when it is probable that future economic benefits will flow and cost can be measured reliably.

2. INITIAL MEASUREMENT

At cost: purchase price + directly attributable costs (site preparation, delivery, installation, professional fees, testing) + estimated dismantling/restoration costs. Borrowing costs capitalised under Ind AS 23 when asset is qualifying.

3. SUBSEQUENT MEASUREMENT

Cost model (cost less accumulated depreciation and impairment) or Revaluation model (revalued amount less subsequent depreciation and impairment). Revaluation must be kept sufficiently current. Entire class of assets must be revalued.

4. DEPRECIATION

Depreciable amount allocated on a systematic basis over useful life. Component approach required when components have significantly different useful lives. Review residual value, useful life and method at least at each year-end.

5. JOURNAL ENTRIES

Acquisition: Dr PPE Cr Cash/Payable/Provision (dismantling)

Depreciation: Dr Depreciation Cr Accum. Depreciation

Revaluation surplus: Dr PPE Cr Revaluation Surplus (OCI)

Disposal: remove cost & accum. dep.; gain/loss to P&L;

6. RED FLAGS

- Overly long useful lives or high residual values to understate depreciation
- Selective revaluation of only appreciating assets
- Capitalisation of repairs that should be expensed
- Failure to apply component accounting
- Ignoring impairment indicators under Ind AS 36

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi